IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/50/CHE/2021
In
CA(CAA)/35/CHE/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

YANMAR INDIA PRIVATE LIMITED
CIN: U51909DL2011FTC212314
1568, Church Road cashmere Gate,
North Delhi- 110 006, Delhi

... Transferor Company

With

YANMAR ENGINEERING MANUFACTURING INDIA PRIVATE LIMITED
CIN: U29300TN2018FTC125720
Plot no.I-5, 2nd Avenue Road,
ORIGINS By Mahindra World City
North Chennai, Eliambedu Village,
Ponneri Taluk, Tiruvallur District
Tamil Nadu, PIN – 601 206

...Petitioner / Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on 20th April 2022

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Pawan Sharma, Advocate

ORDER

Per: **R. SUCHARITHA, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Company above named for the purpose of the approval of the Scheme of Amalgamation of **Yanmar India Private Limited** *(hereinafter referred to as "Transferor Company")* and **Yanmar Engine Manufacturing India Private Limited** *(hereinafter referred to as "Transferee Company")*under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as 'Annexure - 1' to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferee Company have filed the First Motion Application vide CA(CAA)/35/CHE/2021 seeking directions for dispensing with the meeting of the Equity Shareholders and Unsecured Creditors of the *Transferee Company*. It was represented that there were no Secured

Creditors in respect of the *Transferee Company.* Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 04.10.2021, wherein all the meetings of the Equity Shareholders and Unsecured Creditors of the *Transferee Companies* were dispensed with and the Petitioner Company was directed to present the Company Petition within 7 days from the date of receipt of the order. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 11.10.2021 for sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefits;

a. Optimum and efficient utilization of resources either in the form of assets and sharing of ancillary facilities;

b. Benefit of obtaining synchronisation of synergies;

c. Structured, Sharper and better management focussing on holistic growth of businesses;

d. Rationalizing multiple subsidiaries in the group to ensure optimized legal entity structure more

aligned with the business by reducing the number of legal entities in the group structure;

e. Significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the Transferor Company and the Transferee Company;

f. Concentrated effort and focus by the management to grow the business by eliminating duplicative communication and burdensome co-ordination efforts across multiple entities;

g. Cost saving by way of reduction of overheads, administrative, managerial and other expenditure and to bring about operational rationalization and efficiency; and

h. Synchronization of efforts to achieve uniform corporate policy and case in decision making at the group level.

5. In the first motion application filed by the Petitioner Company, this Tribunal had directed the Petitioner Company to issue notices to the Statutory / Regulatory Authorities viz. (i) Regional Director, MCA (ii) RoC, Chennai, (iii) the Income Tax Authorities, (iv) Official Liquidator and other sectoral regulators who may have significant bearing on the operation of Petitioner Companies, as well as for paper publications to be made in "Business Standard",(All India Edition) and "Dina Malar" (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Authorised Representative of the Petitioner Companies had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Dina Malar" (Tamil Nadu Edition) in Tamil on 25.01.2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 05.01.2022, (ii) Registrar of Companies Chennai on 05.01.2022, (iii) Income Tax Department on 05.01.2022, (iv) Official Liquidator on 05.01.2022, (v) Reserve Bank of India, Chennai on 05.01.2022, and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petition. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director *(hereinafter referred to as 'RD')* Sothern Region to whom the notice was issued has filed his Report on 15.03.2022 before this Tribunal and has stated that Clause 14 of Part B of the Scheme provides for the protection of the interest of the employees of the Transferor Company.

It was further observed that as per the report of RoC, Chennai, the Transferee Company are regular in filing their statutory returns up to 31.03.2021 and has reported that there is no prosecution / complaint / inspection or investigation is pending against the companies. Further, the Regional Director has not made any objection to the Scheme.

7.2. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator *(hereinafter referred to as 'OL')* to whom the notice was issued in compliance of this Tribunal order dated 10.11.2021. However the Official Liquidator in response to the notice dated 05.01.2022, submitted that "No report has been filed as the Registered Office of the Transferor Company does not falls within the limits of Chennai, Tamil Nadu".

7.3. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory authorities viz. the Income Tax Department, the Reserve

Bank of India do not have any objection to the sanction of the Scheme.

8. **VALUATION REPORT**

The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Ms. Neena Agarwal, Registered Valuer dated 31.12.2020, wherein it has been recommended by the independent Registered Valuer as follows:

> *"43 equity share of face value of Rs.10 each fully paid up of YEMI shall be issued for 1 equity share of face value of Rs.1000 fully paid up held in YIPL."*

9. **ACCOUNTING TREATMENT**

The Learned Authorized Representative for the Petitioner Companies has stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230(7) / Section 232(3) of Companies Act, 2013 and the Accounting Treatment contained in the Scheme is in compliance with the applicable Indian Accounting Standards. The certificates issued by the Statutory Auditors

certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure – 17 (Colly)' in the typeset filed along with the Petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the Scheme as contemplated amongst the Petitioner Company seems to be *prima facie* beneficial to the Petitioner Company and will not be in any way detrimental to the interest of the shareholders or creditors of the Petitioner Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme appended as Annexure "1" with the Company Petition as well as the prayer made therein.

10.2. The Learned Authorized Representative for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor Company or Transferee Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the Petitioner Companies for oppression or

mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. Hence No relief/exemption is granted.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been

transferred and vested in the Transferee Company with effect from the Appointed Date.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company with effect from the Appointed Date.

(iii) That the Appointed date for the Scheme shall be **1st April 2021** as mentioned in clause 4.4 of Part A of the SCHEME.

(iv) The 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme is filled with ROC Chennai as mentioned in clause 4.6 of Part A of the SCHEME .

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vii) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 18.1 of the Scheme herein, the shares in the Transferee Company to which they are entitled under the said Scheme.

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(ix) That the Transferee Company, shall within thirty days of the date of receipt of certified copy of this order cause such certified copy to be filed with the Registrar of Companies in e-Form INC-28 and on such certified copy being so filed, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to both the said Petitioner Companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Varshini